

24STCV26058 24STCV26058

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Case Number: 24STCV26058 Hearing Date: July 2, 2026 Dept: 513

Superior Court of California

County of Los Angeles – Central District

Department

513

LARA KUSEZ

, et al.;

Plaintiffs,

vs.

STEPS APPAREL GROUP, INC.

, et al.,

Defendants.

Case

No.:

24STCV26058

Hearing

Date:

July
2, 2026

Time:

10:00 a.m.

[Tentative]

Order RE:

defendant steps apparel group, inc.'s motion
for summary judgment, OR IN THE ALTERNATIVE, SUMMARY ADJUDICATION OF ISSUES,
against PLAINTIFFS LARA KUSEZ'S AND KARI RILEY'S COMPLAINT

MOVING PARTY: Defendant

Steps Apparel Group, Inc. d/b/a Skies Are Blue

RESPONDING

PARTY: Plaintiffs Lara Kusez (aka Lara
Ghraoui) and Kari Riley

Motion for Summary Judgment, or in the Alternative, Summary
Adjudication of Issues

The court considered the moving, opposition, and reply papers filed in
connection with this motion.

On October 7, 2024, plaintiffs Lara Kusez (aka Lara Ghraoui) ("Kusez")
and Kari Riley ("Riley") (collectively, "Plaintiffs") filed the Complaint
against defendant Steps Apparel Group, Inc. d/b/a Skies Are Blue ("Defendant") for
(1) first count of waiting time penalties under Labor Code section 203 for
Employment on April 29, 2022, by plaintiff Kari Riley, (2) second count of
waiting time penalties under Labor Code section 203 for Employment on September
30, 2022, by plaintiff Kari Riley, (3) third count of waiting time penalties
under Labor Code section 203 for Employment on November 14, 2022, by plaintiff
Kari Riley, (4) fourth count of waiting time penalties under Labor Code section
203 for Employment on December 8, 2022, by plaintiff Kari Riley, (5) fifth
count of waiting time penalties under Labor Code section 203 for Employment on
March 14, 2023, by plaintiff Kari Riley, and (6) sixth count of waiting time

penalties under Labor Code section 203 for Employment on April 18, 2023, by plaintiff Lara Kusez.

On October 2, 2025, Plaintiffs dismissed the third count without prejudice.

On June 23, 2026, the court denied Plaintiffs' Motion for Summary Judgment on the complaint.

On March 26, 2026, Defendant filed this motion for summary judgment, or in the alternative, summary adjudication, of Plaintiffs' complaint. On June 11, 2026, Plaintiffs filed an opposition. On June 18, 2026, Defendant filed a reply.

EVIDENTIARY OBJECTIONS

The court rules on Plaintiff's evidentiary objections as follows:

The court sustains Objections Nos. 1, and 8.

The court overrules Objections Nos. 2-7, and 9-24.

LEGAL STANDARD

The purpose of a motion for summary judgment or summary adjudication "is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute."

(Aguilar v. Atlantic Richfield Co.

(2001) 25 Cal.4th 826, 843.) "Code

of Civil Procedure section 437c, subdivision (c), requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

"On a motion for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact." (Scaf v. D.B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510,

1519.) A defendant or cross-defendant moving for summary judgment or summary adjudication "has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established, or that there is a complete defense to the cause of action." (Code Civ. Proc., § 437c, subd. (p)(2).) "Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code of Civ. Proc., § 437c, subd. (p)(2).) "If the plaintiff cannot do so, summary judgment should be granted." (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal.App.4th 463, 467.) "When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment." (Id. at p. 467; Code of Civ. Proc., § 437c, subd. (c).)

DISCUSSION

1. Defendant's

fail to identify any issues for summary adjudication

Defendant moves the court for an order granting summary judgment, or in the alternative, summary adjudication of issues. Where summary adjudication is sought, the notice must specify the "specific cause of action, affirmative defense, claims for damages, or issues of duty" sought to be adjudicated. (Cal. Rules of Ct. Rule 3.1350, subd. (b).) The court may not summarily adjudicate claims or defenses as to which no triable issue was raised unless requested in the notice of motion. (Gonzalez v. Superior Court (1987) 189 Cal.App.3d 1542, 1545-1546.)

The court denies Defendant's alternative request for summary adjudication. Defendant failed to identify any issues for adjudication in the notice of motion. (Code of Civ. Proc., § 437c, subd. (f)(1).) Defendant's request is limited to summary judgment, which can only be granted "if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code of Civ. Proc. § 437c, subd. (c).)

2. Affirmative

defense of good faith

a. Applicable

Law

Labor Code section 203 provides in relevant part: "If an employer willfully fails to pay...any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefore is commenced; but the wages shall not continue for more than 30 days." (Labor Code, §203, subd. (a).)

"A willful failure to pay wages within the meaning of Labor Code Section 203 occurs when an employer intentionally fails to pay wages to an employee when those wages are due. However, a good faith dispute that any wages are due will preclude imposition of waiting time penalties under Section 203."

(Cal. Code Regs., tit. 8, §13520.)

"A 'good faith dispute' that any wages are due occurs when an employer presents a defense, based in law or fact which, if successful, would preclude any recovery on the part of the employee. The fact that a defense is ultimately unsuccessful will not preclude a finding that a good faith dispute did exist." (Cal. Code Regs., tit. 8, §13520, subd. (a).) "Courts have likewise uniformly recognized a good faith defense to penalties under section 203." (Naranjo v. Spectrum Security Services, Inc. (2024) 15 Cal.5th 1056, 1078.)[1]

The good-faith defense "does not 'reward ignorance of the law'; it only means that penalties will be imposed on 'employers who lack a good excuse' while employers who face genuine legal uncertainty and make mistakes of law that are reasonable and supported by evidence will be spared. Allowing a good faith defense in cases where the employer's obligations are genuinely uncertain 'amply serves the balance struck by the applicable statutes and regulations between incentivizing prompt payment of wages and shielding innocent mistakes from penalties.'" (Naranjo, supra, 15 Cal.5th at p. 1087 [quoting (Hill v. Walmart Inc. (9th Cir. 2022) 32 F.4th 811, 816].)

An "objectively reasonable," good faith dispute over whether wages

is a complete defense to penalties under Labor Code section 203. (Naranjo, supra, 15 Cal.5th at pp. 1086, 1087.) Thus, where an employer's obligations are uncertain or unclear under the law and the employer's good faith arguments are not "unreasonable or frivolous," a trial court may correctly decline to award penalties. (Naranjo, supra, 15 Cal.5th at p. 1086.) "On the flip side, the Court of Appeal has affirmed trial courts' findings that the employer lacked a good faith belief in the legality of its actions when the employer's position was clearly erroneous or based on an unexcused failure to ascertain the law." (Id.)

The court finds that Defendant has met its burden of showing that Plaintiffs' causes of action for violation of Labor Code section 203 have no merit, because Defendant's good faith is a complete defense to the causes of action.

b. Defendant

has met its burden on the affirmative defense of good-faith dispute

The court finds that Defendant has met its burden of showing that Plaintiffs' first, second, fourth, fifth, and sixth cause of action for violation of Labor Code section 203 have no merit because Defendant has shown that there is a complete defense to those causes of action since Defendant had an objectively reasonable, good faith belief that Plaintiffs were not employees but independent contractors.

Defendant submits evidence that it negotiated and entered into agreements with Elite Model Management, LA, LLC ("Elite") and 1 Model Management LA, LLC ("1 Model"), not Plaintiffs, for each date of work. Defendant submits the call sheets for each photoshoot and the invoice received from Elite and 1 Model. (UMF Nos. 12, 15, 18, 21, 24; Yoon Dec., ¶15, Exs. A and B (4/21/22 Elite contract for plaintiff Riley to shoot on 4/29/22); ¶18, Exs. E and F (9/20/22 Elite contract for plaintiff Riley to shoot on 9/30/22 and 10/5/22); ¶21, 22, Exs. H and I (12/8/22 for plaintiff Riley to shoot on 12/8/22); ¶24, Exs. K and L (2/10/23 Elite contract for plaintiff Riley to shoot on 3/14/23); ¶27, Exs. N and O (4/11/23 1 Model contract for plaintiff Kusez to shoot on 4/18/23).) The invoices instruct Defendant to make all checks payable to the agency. (Yoon Dec., ¶15, Exs. B, F, L, O (4/11/23 1 Model contract for plaintiff Kusez to shoot on 4/18/23).)

In addition, the 1 Model invoice for Kusez's 4/18/23 photoshoot contains the following language: "This invoice is in accordance with the agreement between your appointed representative and the above model for services rendered...If there is any discrepancy please notify us at one [sic].

As per California Labor Code §203 LC the penalty for late payment can be up to 30 times the compensation for a day."

(Yoon Dec., Ex. O.) The fact that Defendant was instructed to inform 1 Model of any discrepancies so that 1 Model could address them supports a finding of Defendant's good-faith belief that it was not responsible for paying Kusez's wages, but instead 1 Model was.

Defendant paid the invoices issued for the photoshoots, all of which indicated payment was due on receipt. (Yoon Dec., ¶¶16 and 17, Exs. B, C and D (corrected invoice from Elite for the 4/29/22 photoshoot on 6/16/22 and paid on that same day); ¶¶19-20, Exs. F and G (invoice from Elite for the 9/30/22 and 10/5/22 photo shoots on 10/5/22 and paid on 10/26/22); ¶23, Ex. J (invoice on 12/13/22 for the 12/8/22 photoshoot and paid on 12/22/22. (Yoon Dec., ¶23, Ex. J); ¶25, Exs. L and M (invoice on 3/21/23 for the 3/14/23 photoshoot and paid on 4/7/23); ¶28, 29, Exs. O and P (invoice on 4/20/23 for 4/18/23 Kusez photoshoot and paid on 5/3/23).)

Defendant did not negotiate with Elite and 1 Model for Plaintiffs' services.

(Yoon Dec., ¶15, Exs. A and B (4/21/22 Elite contract for plaintiff Riley to shoot on 4/29/22); ¶18, Exs. E and F (9/20/22 Elite contract for plaintiff Riley to shoot on 9/30/22 and 10/5/22); ¶21, 22, Exs. H and I (12/8/22 for plaintiff Riley to shoot on 12/8/22); ¶24, Exs. K and L (2/10/23 Elite contract for plaintiff Riley to shoot on 3/14/23); ¶27, Exs. N and O (4/11/23 1 Model contract for plaintiff Kusez to shoot on 4/18/23).) The invoices instruct Defendant to make all checks payable to the agency. (Yoon Dec., ¶15, Exs. B, F, L, O (4/11/23 1 Model contract for plaintiff Kusez to shoot on 4/18/23.) Plaintiffs admit they never communicated with Defendant regarding booking of their services or invoicing it for payment. (Yoon Deel, ¶30; Hwang Deel., Exhibit A: Riley Depa Trans., 30:18 - 31:10; 35:8 - 35:16; 36:7 - 36:16; 38:9 - 38:20; 40:10 - 40:21; 44:18 - 45:6; 56:25 - 57:9; 57:20 - 57:25; 67:14 - 68:7; 76:5 - 77:4; 77:9 - 77:12; 81:7 - 81:20; 82:1-82:11; 84:15-84:21; Hwang Deel., Ex. B: Kusez Depo. Trans., 19:8 - 20:2; 20:7 - 20:13; 22:4-22:7; 24:4- 24:14; 37:23 -38:18.) Plaintiffs also never demanded

payment from Defendant. (Yoon Decl. ¶31; Hwang Deel., Ex. A, Riley Depo. Trans., 40:10 - 40:21; 44:18 - 45:6; 56:25 - 57:9;

57:20

- 57:25; 67:14 - 68:7; 76:5 - 77:4; 81:7 - 81 :20; 84:15 - 84:21; Hwang Deel., Ex. B: Kusez Depo. Trans., 37:23 -38:18.)

Defendant never requested and Plaintiffs never provided any personal information, nor did they ever complete an employment application. (Yoon Dec., ¶35; Hwang Dec., Ex. A, 42:13-45:6; Ex. B, 36:14-38:18.) Defendant never provided Plaintiffs with any employee benefits or materials. (Yoon Decl., ¶33; Hwang Deel., Ex. A, 42:13 -45:6; Ex. B,

36:14-
38:18.)

Plaintiffs also modeled for other companies when they worked for Defendant. (Hwang Dec., Exs. C (SI No. 46), E (Riley Response to SI No. 46), F (SI No. 14) and H (Kusez Response to SI No. 14).) Kusez owns and operates a corporation, Ghraoui, Inc., and it was to the corporation's account that her payment from 1 Model was wired. (Hwang Deel., Ex. B, 25:20 - 26:5; 27:9-27:11; 27:22-27:24.)

Defendant also presents evidence that its longstanding practice has been to contract directly with the agencies to book a specific model for a photoshoot and have no direct contact with the model. (Yoon Dec., ¶¶9, 12.) Defendant presents evidence, that based on its 20 years of experience, the contracts for models at photoshoots are made with the modeling agencies and all billing and payment issues must be handled with the modeling agencies. (Id. at ¶13.) Defendant submits evidence that the modeling agency is required to pay the models for the photoshoot. (Id. at ¶13.)

Defendant's evidence establishes its objectively reasonable, good faith belief that no wages were due to Plaintiffs. Defendant timely paid all invoices sent to them from the modeling agencies for Plaintiffs' work and Defendant reasonably believed that (1) Plaintiffs were not their employees; (2) Defendant was only obligated to pay the modeling agencies invoices for

Plaintiffs' work; and (3) the modeling agencies were responsible for paying Plaintiffs. Defendant identifies multiple facts that objectively indicated absence of an employer-employee relationship.

In addition, Defendant's evidence establishes that it had a good faith belief that Plaintiffs were independent contractors under Labor Code section 2775, which sets forth two tests to determine employment status. Under the "ABC Test," a person is an independent contractor if (1) the worker is free from the control and direction of the hiring entity in connection with the performance of the work, both under the contract for the performance of the work and in fact; (2) the worker performs work that is outside the usual course of the hiring entity's business; and (3) the worker is customarily engaged in an independently established trade, occupation or business of the same nature as that involved in the work performed. (Labor Code, §2775, subd. (b)(1).)

Defendant submits evidence that it did not control Plaintiffs' modeling in fact or by contract, as it had no contract with Plaintiffs, (Yoon Dec., ¶¶7, 8, 12), it is in the clothing business, not modeling business, (Yoon Dec., ¶¶4, 6) and Plaintiffs are customarily engaged in the business of modeling as an established trade, occupation or business (Hwang Dec., Ex. B (25:20 - 26:5; 27:9-27:11; 27:22-27:24.); Ex. C (SI No. 46), (Riley Response to SI No. 46); Ex. F (SI No. 14); Ex. H (Kusez Response to SI No. 14).

Under the Borello test, the "principal test of an employment relationship is whether the person to whom service is rendered has the right to control the manner and means of accomplishing the result desired." (S.G. Borello & Sons, Inc. v. Department of Industrial Relations (1989) 48 Cal.3d 341, 350.) Additional factors to consider are (1) whether the hirer had the right to discharge at will, without cause; (2) whether the one performing services is engaged in a distinct occupation or business; (3) the kind of occupation, with reference to whether, in the locality, the work is usually done under the direction of the principal or by a specialist without supervision; (4) the skill required in the particular occupation; (5) whether the principal or the worker supplies the instrumentalities, tools, and the place of work for the person doing the work; (6) the length of time for which the services are to be performed; (7) the method of payment, whether by the time or by the job; (8) whether or not the work is a part of the regular business of the principal; and

(9) whether or not the parties believe they are creating the relationship of employer-employee.” (Id. at 351.)

“Generally, ... the individual factors cannot be applied mechanically as separate tests; they are intertwined and their weight depends often on particular combinations.” (Id. at p. 352.)

Defendant

submits evidence that it did not control how Plaintiffs' performed their modeling (Yoon Dec., ¶¶7, 8, 12) and had no right to terminate at will (Yoon Dec., ¶36). Defendant's principal testifies that Plaintiffs are expected to understand how to pose, use facial expressions, position themselves in the shoot relative to the props and interact with the photographer to best showcase the clothing. (Yoon Dec., ¶8.) Defendant's evidence establishes that it provided the hair and makeup to Plaintiffs for the photo shoot. (Yoon Dec., ¶8.) Plaintiffs were hired for photo shoots, one shoot at a time. (Yoon

Dec., ¶15, Exs. A and B (4/21/22 Elite contract for plaintiff Riley to shoot on 4/29/22); ¶18, Exs. E and F (9/20/22

Elite contract for plaintiff Riley to shoot on 9/30/22 and 10/5/22); ¶21, 22, Exs. H and I (12/8/22 for plaintiff Riley to shoot on 12/8/22); ¶24, Exs. K and L (2/10/23 Elite contract for plaintiff Riley to shoot on 3/14/23); ¶27, Exs. N and O (4/11/23 1 Model contract for plaintiff Kusez to shoot on 4/18/23).)

Payment was per day, by “job date,” not hourly.

(Yoon Dec., ¶¶16 and 17, Exs. B, C and D (corrected invoice from Elite for the 4/29/22 photoshoot on 6/16/22 and paid on that same day); ¶¶19-20, Exs. F and G (invoice from Elite for the 9/30/22 and 10/5/22 photo shoots on 10/5/22 and paid on 10/26/22); ¶23, Ex. J (invoice on 12/13/22 for the 12/8/22 photoshoot and paid on 12/22/22. (Yoon

Dec., ¶23, Ex. J); ¶25, Exs. L and M (invoice on 3/21/23 for the 3/14/23 photoshoot and paid on 4/7/23); ¶28, 29, Exs. O and P (invoice on 4/20/23 for 4/18/23 Kusez photoshoot and paid on 5/3/23).)

Defendant is a clothing manufacturer and is not engaged in modeling or selling modeling services. (Yoon Dec.,

¶4.) Defendant presents evidence that it

did not believe it was creating an employer-employee relationship, including the absence of any hallmarks of hiring, e.g., onboarding, paystubs from Defendant and direct contracts between Defendant and Plaintiffs, and custom and practice. (Yoon Dec., ¶¶9, 12, 33 and 35; Hwang Dec., Ex. A, 42:13-45:6; Ex. B, 36:14-38:18.)

For

purposes of its good faith defense, Defendant need only establish its belief

that no wages were due to Plaintiffs, because they were independent contractors was “objectively reasonable” and in “good faith.” Reasonable minds could conclude based on the evidence that Plaintiffs were independent contractors under either the “ABC” test or the Borello test set forth in Labor Code section 2775.

Since the court finds that Defendant has met its burden of showing that Plaintiffs’ first, second, fourth, fifth, and sixth causes of action for violation of Labor Code section 203 have no merit, because Defendant has shown that Defendant’s good faith is a complete defense to those causes of action, the burden shifts to Plaintiffs to show that a triable issue of material fact exists as to this defense.

3. Plaintiffs

fail to show that a triable issue of material fact exists as to Defendant’s good faith dispute defense

The court finds Plaintiffs have not met their burden to show that a triable issue of material fact exists as to Defendant’s affirmative defense based on a good faith dispute over whether any wages were due to Plaintiffs. Plaintiffs fail to present any evidence or facts that would make it unreasonable for Defendant to believe it did not owe Plaintiffs any wages, because it was not Plaintiffs’ employer and its payment obligation was limited to paying the modeling agencies’ invoices.

Plaintiffs argue the exhibits attached to Yoon’s declaration are inadmissible because they are not authenticated. Plaintiffs’ objection on this ground is overruled. Yoon’s declaration lays sufficient foundation for the exhibits and she attests that they are true and correct copies of the documents.

Plaintiffs argue that the definition of “print shoot employee” under Labor Code section 201.6 applies to them.

“Print shoot employee” is defined as “an individual hired for a period of limited duration to render services relating to or supporting a still image shoot, including film or digital photography, for use in print, digital, or internet media.” (Labor Code, §201.6, subd. (a)(1).) Section 201.6 subdivisions (b) and (c) set forth when an employer must pay a “a print shoot employee” and how the wages covered by the section may be made, e.g., by mail or at a “location specified by the employer in the county where the employee was hired or performed labor.” (Labor Code, §201.6,

subd. (b) and (c).) Section 201.6 does not address how employment status is to be determined or who qualifies as an employer of a "print shoot employee."

Section 201.6 is therefore not in conflict with Labor Code section 2775, which is entitled "Determination of status as an employee or independent contractor." (Labor Code, §2775.) Plaintiffs fail to establish that Section 2775 does not apply to determination of their status as employees or independent contractors of Defendant.

Plaintiffs argue that, regardless of the applicable test for determining employee status, the presumption is that Plaintiffs were Defendant's employees under *Kao v Holiday* (2017) 12 Cal.App.5th 947 and Labor Code section 2775, subdivision (b)(1).

Section 2775 subdivision (b)(1) codified the presumption, stating "a person providing labor or services for remuneration shall be considered an employee rather than an independent contractor unless the hiring entity demonstrates" that all three elements of the "ABC" test are satisfied.

Plaintiffs argue it is undisputed that they provided services to Defendant and the presumption of employee status arises. Plaintiffs argue Defendant must therefore establish as a matter of law that they were independent contractors under the "ABC" test.

Plaintiffs misunderstand the relevance of the "ABC" test to Defendant's good faith dispute defense and misapply the burden shifting under Code of Civil Procedure section 437c. Defendant is not relying on the "ABC" test to establish that Plaintiffs were in fact independent contractors. Defendant is relying on the "ABC" test to establish that its belief that Plaintiffs were independent contractors was objectively reasonable, i.e., reasonable minds could conclude that, under the ABC test, Plaintiffs were independent contractors. The court finds Defendant has established that reasonable minds could conclude under the "ABC" test that Plaintiffs were independent contractors. In order to defeat Defendant's showing, Plaintiffs must submit evidence or law establishing that no reasonable mind could conclude Plaintiffs were independent contractors.

With regard to the control element of the "ABC" test (element "A"), Plaintiffs submit declarations disputing the level of control exerted over the performance of their services.

Plaintiffs argue Defendant exerted pervasive control over Plaintiffs

during the photoshoots. Plaintiffs claim they had no input in how they performed their modeling work. (Plaintiff's Separate Statement ("PSS"), Response to UMF No. 5; Yoon Decl., ¶ 8; Riley Decl., ¶¶ 7, 9-10, 21, 23-24, 29, 31-32, 37, 39-40; Kusez Decl., ¶¶ 10, 12-13.) Plaintiffs claim the call sheets specify what undergarments to bring and how to prepare their hair and nails. ((Riley Decl., ¶¶ 6, 14-16, 18-19, 27, 35; Exs. B, D-H, J, L; Kusez Decl., ¶¶ 6-8; Exs. M-O.) Plaintiffs also claim Defendant informed them in advance of the compensation they would receive. (PSS, Response to UMF Nos. 12, 15, 18, 21 and 24; Yoon Dec., ¶¶ 15, 18, 21, 24, 27; Riley Decl., ¶¶ 5, 13, 26, 34; Kusez Decl., ¶ 5.)

With regard to whether modeling is outside the usual course of the Defendant's business (element "B"), Plaintiffs also argue that Defendant fails to demonstrate that modeling is not Defendant's "business." Plaintiffs argue Defendant relies on models' images as an integral part of business and marketing operations. (PSS, Response to UMF No. 6; Yoon Decl., ¶ 9.)

With regard to whether Plaintiffs are customarily engaged in an independently established trade, occupation or business of the same nature as that involved in the work performed (element "C"), Plaintiffs are silent on this element.

At best, Plaintiffs demonstrate that there is a reasonable dispute over the level of control exerted by Defendant over how Plaintiffs performed their modeling. Plaintiffs have not shown that a triable issue of material facts exists as to whether modeling is within the usual course of Defendant's business. The mere fact that Defendant uses models in advertising does not establish as an issue of law that modeling is within Defendant's usual course of business. Plaintiffs fail to establish that it was objectively unreasonable for Defendant to believe based on the "ABC" test that Plaintiffs were not its employees and no wages were therefore due.

Plaintiffs argue Defendant should have known that they were dealing with Plaintiffs' agents when contracting with Elite and 1 Model, and Plaintiffs were the principals within whom Defendant was contracting. As discussed above, Defendant's evidence establishes that negotiations were with the modeling agencies and the invoices were from the modeling agencies. The invoices themselves directed Defendant to

pay the agency. Plaintiffs fail to submit any evidence regarding the relationship between themselves and Elite and 1 Model, including any agreements between themselves and the agencies. Plaintiffs' declarations confirm that all negotiations and communications regarding the jobs were between the modeling agencies and Defendant. (Plaintiffs' Evidence, Riley Dec., ¶¶5-6, 13, 26, 34; Kusez Dec., ¶15.) Plaintiffs fail to establish an agency relationship with Elite and 1 Model.

Even if Plaintiffs had established an agency relationship with Elite and Model 1 and Defendant's knowledge of that agency relationship, Plaintiffs fail to explain why these facts would make Defendant's belief that they were independent contractors unreasonable. The mere fact that Elite and 1 Model were acting as Plaintiffs' agents when they entered into the contracts with Defendant would not establish that Defendant hired them as employees. Plaintiffs fail to point to any language in the communications and invoices between Defendant and the modeling agencies indicating that Defendant was hiring Plaintiffs as employees.

Plaintiffs argue that Defendant cannot rely on the invoices as an excuse for failing to timely pay them their wages. Plaintiffs cite to Labor Code section 219 subdivision (a), which states, "[n]othing in this article shall in any way limit or prohibit the payment of wages at more frequent intervals, or in greater amounts, or in full when or before due, but no provision of this article can in any way be contravened or set aside by a private agreement, whether written, oral, or implied." (Labor Code, §219, subd. (a).)

Plaintiffs' reliance on Labor Code section 219 subdivision (a) is misplaced. Defendant claims it paid the invoices within 30 days, as provided for in the invoices. Defendant is not arguing that the invoices excuse or waive Plaintiffs' right to be paid wages in accordance with the Labor Code. Defendant relies on its timely payment of the invoices under their terms as evidence that (1) it did not have any employment or direct contractual relationship with Plaintiffs, (2) its only relationship was with the agencies and (3) it complied in good faith with its obligation under the only contracts it had pertaining to Plaintiffs' services, consisting solely of emails, call sheets and invoices with the agencies. Labor Code section 219 does not show that a triable issue of material fact exists as

to Defendant's good faith dispute defense.

Plaintiffs argue Defendant's failure to ascertain the applicable law regarding determination of employment status and its wage payment obligations was an affirmative act of bad faith. Defendant's failure to ascertain the applicable law is not an act of bad faith absent facts or circumstances that should have triggered Defendant to do so.

More importantly, Plaintiffs fail to establish that Defendant's understanding of its relationship to Plaintiffs was "clearly erroneous or based on an unexcused failure to ascertain the law." (Naranjo, supra, 15 Cal.5th at p. 1087.) As discussed above, Plaintiffs have at most established a reasonable difference in opinion on one factor of the "ABC" test. Plaintiffs therefore have not shown that a triable issue of material fact exists as to Defendant's affirmative defense based on a good faith dispute regarding their employment status.

4. Conclusion

A "motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code of Civ. Proc., section 437c, subd. (c).) The court finds that Defendant has met its burden of showing that there is no triable issue as to any material fact by establishing its "good faith dispute" defense pursuant to California Code of Regulations, Title 8, section 13520.

The court finds that Plaintiffs have not met their burden to show that a triable issue of material fact exists as to Defendant's defense.

ORDER

The court grants defendant Steps Apparel Group, Inc.'s motion for summary judgment on Plaintiffs' complaint.

The court orders defendant Steps Apparel Group, Inc. to give notice of this ruling.

IT IS SO ORDERED.

DATED: July 2, 2026

Robert

B. Broadbelt III

Judge

of the Superior Court

[1]

Defendant stated that Naranja held that “knowing and intentional failure to comply” under Labor Code section 226 “requires a showing that the employer knew the requirements of the law, and nevertheless intentionally broke the law.” (Motion, 11:4-7 (citing Naranja, supra, 15 Cal.5th at 1072-1073.)

However, as Plaintiffs point out in opposition, the portion of Naranja cited by Defendant at pp. 1072-1073 is not the Supreme Court’s holding. It is the Supreme Court’s

summary of the defendant’s position regarding what must be showing to demonstrate a “knowing and intentional failure to comply” under Labor Code section 226.